THE TRADING ACADEMY

Dennis Aki Zagarelos

Backtesting Rules

Clearly write down the rules of the strategy you are going to backtest. Think of this as your checklist. You may refer back to this document in a year's time and know precisely what you tested.

Strategy name	Open Dxy Level Strategy
Watchlist	Dxy Index and the 7 Major Forex Pairs
Time Period	June 2022
Strategy Rules	**Pre Trading Chart Analysis** - Mark your charts with fib levels and confluence around Supply and Demand zones **Step 1: Anticipate** - Being aware of fundamentals - Checking upcoming news during trade execution - Being aware of HTF levels and direction - Checking DXY opening level and marking it on the chart **Step 2: Confirm** 1. Check DXY PA around London Session open, or just before 9.30am - 10 am NZT. Was the opening level breached? Candles closed on the opposite side of the level. 2. **Ask yourself?**

- Did anything happen during the Tokyo session that might initiate a trend and negate our setup?
- Is there strong momentum, uncharacteristic for the Asian session?

3. **If both 1 & 2 are answered as "NO"** -
   Has the price moved away from it far enough for you to take a trade as DXY opening level being your target?
   - If yes, Identify a recent swing higher/lower to use as a stop loss.
     - Do you have enough room to your target for an initial 1-1 RR?
   - **If yes:** Look for entry signal on the 15m chart
     - Engulfing Candle
     - 3 Bar Reversal Pattern
     - Pin Bar
   - **If no to number 3:** - No trade at this time
     - Wait for price to drift further away from Dxy opening level and reassess.
     - Wait for price to retrace to DXY opening level and reassess.

Step 3: Execute!

1. Do one last check of the calendar to make sure we are not missing anything - www.forexfactory.com
   a. Are there upcoming high impact news?
      i. **If yes:** Do you have time to be out of the trade before the news hits?
      ii. **if No:** Consider waiting to enter the trade after news is released and the market settles.
2. Once we have an entry signal, we enter the market.
   a. We execute on the FX pairs we have selected according to their correlation to DXY.
   b. Our initial target is DXY opening level at which point we take ½ or ⅔ of our position off.
   c. Entries to have a 25 pip SL and portion of trade intended to be closed has a 25 pip target aswell.
3. Adjust bot of the SL as needed on SL assessment
   a. If the target is behind the level that might prevent it hitting the target, aim for just before that level.
   b. If 25 pip SL is just before a prior pivot, extend it a couple pips to use the pivot level as stop loss.
4. Close trades manually as needed if DXY level is hit and 25 pips hasn't been reached.

	Step 4: Management Trades can fall under 3 scenarios for us to manage. 1. **Our Trade Hit Profit Target** - Dxy made it to the level we were targeting. a. We reevaluate! - where are we in the bigger picture? Hold/Close/Reversal? 2. **Our Trade is Running sideways** - DXY is not moving as expected. a. We Reevaluate! - Where are we in the bigger picture? Hold/Close/Reversal 3. **Our Trade is Running Against us or Our SL was Hit** - DXY is moving opposite to what we expected? a. We reevaluate! - Where are we in the bigger picture? Hold/Close/Reversal or Reentry? 4. **How Do We Reevaluate?** - We perform our analysis anew a. Check HTF analysis - are we trading in the direction of the HTF trend or not? b. Is DXY moving with momentum or correctively in its current wave? c. Any potential pivot levels near us - can we take advantage of them if near? d. Any news events coming up we need to be aware of?
Schedule	London/New York and Sydney Sessions